Understanding Health Insurance

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Key Takeaways

- Health insurance helps pay for health care costs in the event of an injury, illness or disability
- All Singaporeans are covered under MediShield Life, a basic government health plan to cover large medical expenses
- Apart from medical expense insurance, there are other types of health insurance plans. Know the differences in coverage so that you

buy what you need

Health insurance helps you pay for your medical expenses when you fall ill, get injured or become disabled.

All Singaporeans are covered under MediShield Life, a basic government health plan to cover large medical expenses. Besides having to deal with large medical or hospital bills, you may not be fit for work during your recovery.

Some health insurance plans will provide you with cash payouts to help pay for treatment or long-term care.

There are short-term and long-term policies. Long-term policies cannot be terminated without your consent. For short-term policies, insurers may terminate your policies by informing you in advance.

Be sure to buy a policy which fits your needs. Do note that a new policy may not give you the same coverage as before.

Types Of Health Insurance Plans

There are five types of health insurance plans.

If You Want To	You Should Buy
Cover your hospital and surgical (medical) costs	MediShield Life already covers Singapore citizens and Permanent Residents, paying for large hospital bills and selected costly

	outpatient treatments. If you want more coverage, you could consider getting an Integrated Shield Plan.
Receive a fixed amount of cash for each day you are in a hospital	Hospital Cash Insurance
Receive a lump sum to help you with expenses if you are diagnosed with a major illness like cancer	Critical Illness Insurance
Replace your income when you are disabled and unable to work	Disability Income Insurance
Pay for the care you need if you are severely disabled	Long-term Care or Severe Disability Insurance (e.g. ElderShield and ElderShield Supplements, and CareShield Life from 2020 onwards)

Who Should Buy Health Insurance?

Singaporeans are already covered by MediShield Life, a compulsory health insurance scheme that pays for basic public hospital treatments.

If you prefer to be admitted to a better type ward or private hospital, you can consider an upgrade to an Integrated Shield Plan with wider coverage.

See how much hospital treatments cost.

There are a few things to consider when choosing a health insurance plan:

- **If you are young and healthy –** Check to see if your coverage is enough for you or if you wish to upgrade. Do not wait until you develop health issues to get more cover as the insurer may exclude coverage of that in your policy.
- **If you have a family –** Make sure your family has adequate health insurance. Medical emergencies can be costly. Check that the deductibles and co-insurance payments are affordable for the long term.
- **If you are a senior citizen –** Check the CPF Board website to see if you are covered under ElderShield. If you are under 65 and opted out of ElderShield earlier, speak to any of the private insurers to opt back in. Premiums and payouts are the same across all insurers. You will need a medical assessment. Your application could be rejected if you have a pre-existing illness.

Note: All Singapore Citizens and Permanent Residents born in 1980 or later are covered under CareShield Life (the enhanced ElderShield Scheme) on 1 Oct 2020, or when they turn 30, whichever is later.

CareShield Life provides better basic protection against the costs of long-

term care should you become severely disabled. It offers higher payouts that increase over time and you will receive the payouts for as long as you remain severely disabled.

Those born before 1980 can choose to join CareShield Life if they are not severely disabled. To make joining more convenient, Singapore Citizens or Permanent Residents born between 1970 and 1979 (both inclusive) who are insured under ElderShield 400 scheme and are not severely disabled will be auto-enrolled onto CareShield Life from December 2021.

If You Have Company Health Insurance

Find out if you are covered under a group health insurance policy. If so, what are you covered for? The policy may end when you change employer or retire. So, you should have a personal health insurance policy as well.

Do not wait until you stop working to buy a health insurance policy. By then, you may not be insurable due to age or poor health.

Choosing Your Level Of Coverage

When choosing a policy that suits your healthcare needs, ask yourself these three questions:

1. What basic coverage do I already have?
2. What additional coverage am I looking for? Do I really need this?

3. What are my options?

Basic Health Insurance Coverage

As a Singaporean or Permanent Resident, you are already covered under the basic Government health insurance plans:

- MediShield Life
- ElderShield (or CareShield Life from 2020) unless you choose to opt out

If You Want More Coverage

If you have the budget for it, you may want more coverage such as for a higher ward type or the ability to choose your own doctor.

If so, you could choose to upgrade your coverage by getting an Integrated Shield Plan or ElderShield Supplements.

These plans add to your MediShield Life or ElderShield plans. There is no duplication in coverage.

How MediSave Fits In

MediSave is a savings account for healthcare expenses, not a health insurance policy. Part of your CPF contributions goes into your MediSave account and this is part of your CPF savings.

You can use your MediSave to pay for you and your immediate family members:

- Hospitalisation, day surgery and certain outpatient expenses
- Premiums for MediShield Life, Integrated Shield Plans, ElderShield and CareShield Life

Note: There are withdrawal limits on the use of MediSave. Read more on the Ministry of Health (MOH) website.

Assistance Under MediFund

You can apply for assistance under the MediFund scheme if you are a Singapore citizen receiving subsidised treatment and have difficulty paying your medical bill at a MediFund-approved institution.

To apply, approach the medical social workers at the MediFund-approved institutions where you have received treatment.

Understanding Insurance

Insurance can be a safeguard against financial loss. Get an overview on the types of insurance and understand the difference between life, health and general insurance. Read more

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